



GENERAL REPORT
ECONOMICS AND SECURITY COMMITTEE (ESC)

GEO-ECONOMIC FRAGMENTATION: A CHALLENGE TO THE TRANSATLANTIC PARTNERSHIP

Rapporteur General: Bart KROON (The Netherlands)

Founded in 1955, the NATO Parliamentary Assembly acts as a consultative interparliamentary organisation which is institutionally separate from NATO. This report was adopted by the Economics and Security Committee at the 71st Annual Session held in Ljubljana, Slovenia. It is based on information from publicly available sources or NATO PA meetings – which are all unclassified.

016 ESC 25 E rev.2 bis – Original: English – 11 October 2025

EXECUTIVE SUMMARY

There are few economic and political observers who would argue that the international economic system is becoming more open, even if globalisation remains a powerful force in economic life. There has been a generalised retreat from the ambition to construct and maintain an ever more deeply integrated world economy. Notions of supply chain securitisation and the use of tariffs as a tool of coercion now dominate discussions about the global economy. Trade growth has slowed precipitously, and ensuring the resilience of supply chains now trumps ambitions to maximise their efficiency.

Moreover, governments and market players are adopting increasingly defensive positions that economist would characterise as sub-optimal. Strategic competition among the world's largest economies, concerns about the resilience of vital supply chains, fears that investment flows engender technology theft, environmental degradation, and political upheaval linked to trade generated job losses have all fed this backlash. Those economists touting the economic benefits of liberalisation are now on the back foot. The view that liberalisation represents a source of instability has gained political currency and many no longer see it as an agent of wealth generation and peace. Indeed, the world economy is moving into a phase of geo-economic fragmentation, which the IMF describes as pattern of "policy-driven reversal of global economic integration".

Neglected in much of the current discussion is a broad understanding of the generalised welfare gains that open trading regimes confer. Consideration of those gains lie behind ongoing efforts to limit geo-economic fragmentation even while those defending liberal economic paradigms face increasingly formidable headwinds. There is also a growing rift between international economists warning about the costs of retreating from open trading and investment rules and national security thinkers who worry that integration is fomenting rising insecurity. This debate has become a divisive matter of high politics and diplomacy.

Fundamental changes to the international system and the global economy weaken the instinct to contain economic disputes. The withering of the trade consensus has been mirrored in the decline of the WTO as the primary agent for building a rules-based open international trading system. Its demise has been accompanied by efforts to construct regional trading blocs and the emergence of economic nationalism in which protectionism assumes an exalted position in economic policy-making. Trade disputes have become more frequent and shrill, suspicions have mounted about the efficacy and purpose of international economic institutions and the rules of the game that they oversee. This has transpired as new competitors have emerged to challenge the commercial and financial primacy of traditional global economic powers, including NATO member countries.

Economic models suggest that the costs of fragmentation depend on the degree to which governments undermine multilateralism. In the most extreme cases, some countries could undergo as much as a 10% reduction in output, although costs to individual countries would vary depending on the structure of the national economy and its level of openness.

Governments must now strike a balance between achieving security and remaining economically open. Weighing security too heavily can inflict excessive costs when expressed through excessive economic restrictions. Nevertheless, overexposure to overly concentrated international supply chains for strategic commodities needed in the defence industrial, energy and digital sectors can leave countries military vulnerable to rivals and impede the development of industries that will be fundamental to wealth creation over the coming decades. Building greater redundancy within supply chains will, at least in some instances, prove costly. But, over-exposure to single suppliers has even greater potential costs, particularly when that supplier is a strategic competitor.

The Report concludes that policy regarding the structure of international trade and investment should consider the value of achieving greater strategic autonomy for the alliance as a whole and for Europe, in particular, as it works to develop its defence and economic profile. Security and stability are enhanced by greater resilience in energy and food commodity production as this can enhance economic stability and security. Article 2 of the NATO Charter recognises that security and economic development are deeply intertwined and this requires that governments need to factor in security calculations when making economic policy.

The Report offers five concrete actions to be taken by NATO and/or Allies to address the geo-economic fragmentation and enhance transatlantic economic security.

First, to create a NATO Partnership for Essential Raw Materials with an aim to build a common understanding among Allies on strategic raw materials and align their economic policies to secure access to them as well as enhance supply chain resilience.

Second, to reestablish the NATO Economic Security Committee. Recreating this dedicated body within NATO will be crucial to handling economic security issues through monitoring global economic trends, assessing potential threats, and coordinating economic security strategies among Allies.

Third, to foster a more institutionalised NATO-OECD policy alignment that could help to promote security and defence related standards. The NATO Parliamentary Assembly should continue to actively use the OECD Global Parliamentary Network to discuss economic security issues, including standards.

Fourth, to mobilise private capital engagement in the defence sector and stimulate regionally dispersed investment to rebuild Allied industrial capacity. This should lead to building cross-national technological and industrial Allied ecosystems.

Fifth, to reinforce export control mechanisms. Western firms need to do more to control the end use of military and dual-use equipment they export. In turn, Allied governments need to ensure that incentives are in place for commercial operators to comply with these rules, including criminal statutes aimed at those violating these export controls.

TABLE OF CONTENTS

I- INTRODUCTION 1

II- THE GAINS FROM TRADE AND TRADE'S CRITICS..... 3

III- INVESTMENT FLOWS AND GEO-ECONOMIC FRAGMENTATION..... 5

IV- THE CHINA AND RUSSIAN SECURITY CHALLENGES AS CATALYSTS FOR GEO-ECONOMIC FRAGMENTATION 6

V- IMPACTS ON FOOD, ENERGY, AND MINERAL COMMODITIES 9

VI- UNEXPECTED TRANSATLANTIC ECONOMIC FRAGMENTATION: A COMING TRADE WAR AMONG ALLIES?.....12

VII- TOWARDS AN ASSESSMENT OF THE COSTS OF GEO-ECONOMIC FRAGMENTATION.....15

VIII- CONCLUSIONS.....17

BIBLIOGRAPHY 21

Acknowledgement: The Rapporteur extends appreciation to the Committee's Directors, Paul Cook and Dominik P. Jankowski, and its Researchers, Pilar Maria Bolognesi, Moritz Neubert and Jack Ronan, for their contributions to this report.

I- INTRODUCTION

1. For decades after World War II, Western governments to varying degrees and with varying points of emphasis, championed the ideal of building liberal and open international markets. If the goal of fully open trade and capital markets was always going to elude policy makers, history at times seemed to be progressing in that direction, and economists provided a foundation for the effort in its theoretical work. The establishment of the Bretton Woods institutions and a fixed exchange rate regime, with the dollar fixed to gold and other traded currencies fixed to the dollar, provided an international framework for more open trading relations while also creating space for a degree of protectionism and capital controls which gave countries some policy space to pursue domestic political-economic objectives.

2. The stability of that system along with the gradual reduction of barriers to trade laid the foundations for globalisation, although initially the participants in this process were largely the most developed countries in North America and Europe. Tight economic linkages, reinforced by shared security and diplomatic interests, facilitated the cross-border exchange of goods, information, capital, and, to a lesser extent, people. This economic openness, in turn, engendered prosperity, economic efficiency and resilience while businesses benefitted from increasingly extended value chains and sales networks that expanded market scope, drove costs down and galvanised technological and commercial development.

3. The years 1980-2008 marked the greatest acceleration and geographical expansion of the global economy. During that period, first China and then India began removing barriers to trade, the Asian Tigers made their presence felt in the global manufacturing and trading systems, and former Warsaw Pact members transitioned to liberal market structures, integrated into the global marketplace, and many successfully acceded to the European Union, the OECD, the World Trade Organization and NATO. Indeed, globalisation had achieved a kind of zenith in the wake of the Cold War's end when formerly communist countries in Europe scrambled to transition to liberal market structures and rapidly embedded themselves in the European and the global division of labour. They saw this as both an economic and strategic imperative.

4. The widespread belief that open trading systems offered a powerful means to galvanise growth had triggered a rapid reduction of tariff and non-tariff barriers to trade. Although obstacles to international commerce persisted, trade as a percentage of global GDP rose from one third in 1980 to roughly two thirds in 2008, only to decline thereafter (Plummer, 2023). Transborder capital movements expanded dramatically as well despite persistent capital controls in parts of the world. But, unhindered capital movements were seen with more scepticism by some economist, and this scepticism was confirmed when very open capital markets amplified financial instability during the dot.com crisis of 2000, the 2001-2002 Argentinian economic crisis, and the 2007-2009 global financial crisis.

5. Indeed, the era of rapid globalisation was hardly a frictionless period. Persistent trade disputes and mounting debates about the wisdom of unhindered capital flows pointed to underlying tensions embedded in the international economic order. Despite ongoing liberalisation, political life in western democracies was consumed with debates over trade policy, capital market liberation and the virtues and dangers of labour migration. In some ways, these discussions charted out the direction the global economy and policymaking would take after 2008. Nevertheless, until the 2007−2009 global financial crisis, post-war history seemed to be liberalising in tone as well as in substance, even though backsliding was always possible, particularly in the wake of precipitous market crashes that invariably fed scepticism about the wisdom of allowing markets to run rampant.

6. The pace of economic globalisation, however, markedly slowed after the 2007−2009 financial crisis. After that calamity, globalisation, as measured through the trade openness metric or the sum of exports and imports of all economies relative to global GDP, plateaued for fifteen years leading some IMF analysts to describe that period as "slowbalization" (Aiyar and Ilyina, 2023).

7. Today, there are few economic and political observers who would argue that this liberalising dynamic remains in place, even if globalisation remains a powerful force in economic life. There has been a generalised retreat from the ambition to construct and maintain an ever more deeply integrated world economy. Notions of reshoring, nearshoring, hedging and supply-chain securitisation and the use of tariffs as a tool of coercion now dominate discussions about the global economy. Trade growth has slowed precipitously, and ensuring the resilience of supply chains now trumps ambitions to maximise their efficiency. Food, commodity and energy markets are growing more segmented and unstable. New but unstable economic blocs are taking shape, characterised by differing ideologies, political institutions and divergent market rules and standards for all kinds of industries including for important emerging industries like artificial intelligence. Emerging blocs now look to establish their own payment and settlement systems and are seeking to establish reserve currencies to replace the dollar (Noring, 2024).

8. Growing signs of global disorder and insecurity, in turn, have rekindled political nationalism and mounting scepticism about multilateralism. Governments and market players are adopting increasingly defensive positions that economists would characterise as sub-optimal. Strategic competition among the world's largest economies, concerns about the resilience of vital supply chains, fears that investment flows engender technology theft, environmental degradation and political upheaval linked to trade generated job losses have all fed this backlash. Those economists touting the economic benefits of liberalisation are now on the back foot. The view that liberalisation represents a source of instability has gained political currency and many no longer see it as a catalyst for wealth generation and peace.

9. These developments suggest the world economy is moving into a phase of geo-economic fragmentation, which the IMF describes as pattern of "policy-driven reversal of global economic integration". The concern is that this will hinder capital flows (particularly to low-income countries), undermine innovation and discourage cooperation on international crises. The global economy is clearly moving away from the founding principles of the Bretton Woods system and the pace of change is only accelerating in 2025 (Shirin and Mohseni-Cheraghlou, 2024).

10. Neglected in much of the current discussion is a broad understanding of the generalised welfare gains that open trading regimes confer. Consideration of those gains lies behind ongoing efforts to limit geo-economic fragmentation even while those defending liberal economic paradigms face increasingly formidable headwinds. There is also a growing rift between international economists warning about the costs of retreating from open trading and investment rules and national security thinkers who worry that integration is fomenting rising insecurity. But, this is not simply a dry academic debate. It has now become an extraordinarily divisive matter of high politics and diplomacy.

11. In recent years, traditionally liberal governments have stepped back from open trading agreements (Brexit and the US withdrawal from the Trans-Pacific Partnership are two examples). Security concerns have inspired transnational efforts to use economic tools aiming to isolate strategic rivals. The Covid pandemic and the supply chain disruption this triggered, the war in Ukraine and mounting security and trade friction with China have all, in different ways, accelerated the move away from global economic integration and towards geo-economic fragmentation (Ahn et al., 2023). Indeed, that war has been a particularly important catalyst for fragmentation and matters like sanctions on Russia, energy trade, and the diversion of Western technology to Russia have resulted in new and sharper divisions between countries seeking to isolate Russia and those maintaining trading ties with it.

12. Economist Michael Plummer has noted that governments have responded to emerging threats by increasingly turning inward. In policy terms, this has resulted in "higher trade barriers in 'strategic' sectors, restrictions on inward and outward FDI in sensitive areas, and strong incentives to encourage locally produced manufactured goods". Plummer, like many of his colleagues in the economics profession, sees geo-economic fragmentation as threatening "not only the health of the international marketplace but also prospects for global growth, innovation, economic development,

and poverty reduction, which have benefitted significantly from economic integration" (Plummer, 2023).

II- THE GAINS FROM TRADE AND TRADE'S CRITICS

13. As a category of thought, economics has never been characterised by consensus among its most acute analysts, although there have always been areas of broad, if not absolute, agreement across the discipline. For decades, one such area concerned the theoretical gains to be had from trade. Indeed, some of the most important and enduring work on micro-economics, beginning with Ricardo powerfully and elegantly demonstrating how countries engaged in exporting goods that they produced at relatively low prices while importing goods which they were not particularly endowed to produce at relatively competitive costs would unambiguously benefit from trading in the international marketplace. Trade driven by comparative advantage would result in all countries participating in trade achieving higher levels of overall welfare than would otherwise be possible.

14. Trade, the classical argument went, would encourage countries to produce in sectors in which they were relatively more competitive and forego production in favour of imports in those sectors where they were not competitive, helping to optimise factor allocation across the economy (capital and labour in the classical formulation) while maximising returns to the most intensively used factors in producing these goods. But, there would also be gains linked to the diffusion of technology and know-how that countries acquired both through international trade and direct investment flows that were often linked to trade. Trade would also broaden the exchange of knowledge while creating new avenues for investment and innovation. Trade flows were thus understood as important foundations of economic development and could theoretically help countries move up the production ladder. The post-war recovery of Europe and Japan and the rapid rise of the Asian tigers and of an economically reformed India provide examples of the apparent link between trade and investment flows, on the one hand, and economic growth and development, on the other.

15. Standard trade theory suggests that aggregate gains garnered from trade exceed any losses it imposes on some market players. Well-organised states, moreover, can adopt measures to ease some of the burdens on trade's domestic losers, for example, by reallocating a portion of the gains from trade to underwrite basic infrastructure, finance the retraining of workers from less competitive sectors, fund basic and applied scientific and technological research and more broadly enhance education systems to create the kind of human capital needed to develop comparative advantages in areas of dynamic economic growth. Societies most supportive of open trading systems, not coincidentally, were often ruled by governments willing to intervene in markets to take the edge off the harsher adjustment costs that open trade invariably induced while investing in long-term projects that would enhance international competitiveness. Doing so helped extend the societal gains from trade and build broad constituencies of support for it.

16. Of course, the real world never conforms precisely to theory, and this is certainly the case in economics. Economists have long been challenged to account for real world deviations from the abstract models they created. For enterprising economists, this led to whole new sub-sets of trade economics which sought to explain longer-term economic developments previous models had neglected. These included notions like imperfect competition stemming from monopoly or monopsony power some companies might acquire over time, the problems of scale where theoretically the global economy could not sustain more than one producer of a very expensive product without subsidies – passenger aircraft for example – a phenomenon which created incentives for production and export subsidies to so-called "national champions", concepts pertaining to "externalities" which suggests that production and export of certain goods ought to be subsidised or partly protected from foreign imports through tariffs or other policies because of spillover impacts that would not otherwise be reflected in market prices. National security represents one such

externality justifying protectionist measures, environmental impacts represent another, the long-term generation of skills or learning by doing in protected companies might represent a third.

17. While free trade absolutists have been reluctant to recognise the importance of these exceptions to traditional free trade paradigms, these deviations from classical liberal market analysis have garnered increasing political weight in recent years both in the developed and developing world. Externalities like those mentioned above have provided a theoretical foundation for justifying highly specific state interventions including tariffs, quotas and other trade restrictions under unique situations. Security and environmental considerations as well as market imperfections have been particularly important policy drivers in this regard, and these have been invoked in recent years to justify subsides, tariffs and other forms of market intervention.

18. It is, however, not always easy to disaggregate the motives driving some of these interventions and undoubtedly protectionist impulses inspired by more parochial concerns sometimes played in these decisions. State capture by certain elites threatened by open trade and trading rules that demand transparency, limited state supports and respect for intellectual property can also lead to trade and foreign investment restrictions. This dynamic has been evident not only in many authoritarian states, but even in developed democracies that had long advanced liberal market rules through the Bretton Woods institutions like the WTO.

19. Suspicions about free trade have grown more common in recent years. Patterns of deindustrialisation in the developed West, for example, fostered enormous scepticism about the virtues of trade, particularly among those groups adversely impacted by foreign competition. In democratically governed societies, trade scepticism has metastasised in important sectors of the working population most impacted by international competition, and this has created new and alluring political opportunities to advance the case for protectionism. Disinformation campaigns conducted by bad actors can exploit these sentiments and further energise protectionist impulses, for example, by overplaying the plight that import competing workers and firms confront and underplaying the gains that workers and firms operating in the export sector are generating in the world economy. Regional concentration of those adversely impacted by foreign competition can give added political weight to protectionist sentiments and drive anti-trade mobilisation. By contrast, the benefits of trade tend to be more diffuse and generalised and thus the defence of these general interests tends to be less organised and concentrated.

20. The quest to achieve higher levels of strategic autonomy is partly driving the process of economic and diplomatic fragmentation. The logic of free trade has always made economic sense but it can run up against the ambition for strategic autonomy. This has become more evident in recent years as countries and even emerging blocks seek greater security and control over their strategic destiny. This is a tension with which NATO Allies are currently wrestling and all seeking to strike a proper balance between strategic autonomy and the ongoing need to engage the world in a traditionally open fashion. This phenomenon is evident between traditional and emerging blocs of states but also within them. This drive for strategic autonomy can even impose limits on friend-shoring.

21. The emergence of new and highly dynamic trade competitors can also trigger the protectionist impulse. A booming Japan, for example, was a primary target of US protectionist measures in areas like super computers and automobiles in the 1980s. But, Tokyo was also a strategic partner of Washington and the West more generally, and this helped leaders contain trade frictions that had begun to emerge at that time. Likewise, geo-strategic factors imposed real limits on US-European trade disputes during the Cold War. The overriding Soviet threat demanded a kind of discipline on the part of allied governments to ensure that trade disputes undermined neither essential strategic solidarity nor a trade and investment partnership that was generating enormous wealth on both sides of the Atlantic. While so-called chicken or wine wars and tensions over aviation subsidies would occasionally roil the undeniably vital and wealth generating transatlantic trading partnership, the notion that Allies needed to preserve economic as well strategic solidarity as a matter of national security compelled governments to contain specific disputes within discrete boxes and work to

resolve them so that mutually beneficial trade and investment relations, writ large, would continue to flourish.

22. Fundamental changes to the international system and the global economy, however, are now weakening the instinct to contain economic disputes and even to accept the notion that free trade holds out win-win propositions to states that embrace the rules of the game. The withering of the trade consensus has been mirrored in the decline of the WTO as the primary agent for building a rules-based open international trading system. Its demise has been accompanied both by efforts to construct regional trading blocs and, in some extreme cases, the emergence of economic nationalism in which protectionism assumes an exalted position in economic policymaking. Indeed, general optimism about multilateralism has waned markedly since 2008. Trade disputes have become more frequent and shrill, suspicions have mounted about the efficacy and purpose of international economic institutions and the rules of the game that they oversee, and all of this has transpired as new competitors have emerged to challenge the commercial and financial primacy of traditional global economic powers, including NATO member countries.

23. The weaponisation of trade has become a more frequent policy choice. According to academic literature, for trade to be considered weaponised one of two conditions needs to apply. The first is that “trade restrictions are imposed unilaterally as an exercise in power, outside the disciplines of the WTO” (Heydon, 2024). A second condition for weaponisation is that there “is an ulterior motive invoked that goes beyond trade” (Heydon, 2024). However, care is needed to address the complexities of this subject, not to oversimplify.

24. The trends towards increased protectionism, stronger industrial policy and enhanced strategic autonomy in critical sectors came together in the concept and policies of “post-neoliberalism” as well. The concept and policies, which have been advanced by both the Trump and Biden administrations, reflect the belief that market mechanisms are not suited to address specific problems, engender problematic power asymmetries that undermine productive competition, and that free trade has negatively affected a wide range of the US population (Furman, 2025; Harris, 2025). It puts an emphasis on “balancing” and “building”. While the former seeks to address asymmetries in markets between the financial and other sectors of the economy, between small and large companies, and between different countries, the latter concentrates on the provision of essential goods through demand-side policies that generate growth (Harris, 2025). The first Trump administration was characterised by tariffs, the protection of US entities, and the desire to re-shore production (Harris, 2025). The Biden administration’s policies showed certain continuities and “built on Trump’s policies by retaining, reformulating, or expanding restrictions on trade to promote domestic production” (Furman, 2025). The approach is best illustrated by investment and industrial policy programmes that sought to return production and jobs in strategic sectors back to the US, stronger antitrust regulations, renewed support for unions, as well as enhanced protection of consumers (Ahmari, 2024). Another example is the initial blocking of Japan Nippon Steel’s bid for U.S. Steel (Furman, 2025), a deal that has, eventually, been approved under the second Trump administration after finding an agreement providing the US government with considerable influence over the company’s actions via a “golden share” (Swanson and Hirsch, 2025).

III- INVESTMENT FLOWS AND GEO-ECONOMIC FRAGMENTATION

25. There is growing empirical evidence that geo-economic fragmentation driven by security realignments is also having a powerful impact on global investment flows. While most economists have focused on the trade and technology transfer impacts of fragmentation, there are substantial costs to the global economy because investment markets show signs of fragmenting with a range of adverse impacts. A recent IMF study notes that foreign direct investment (FDI) accounts for 12% of domestic capital stock globally. FDI has long been a transmitter of technology both among developed countries and between developed and developing countries. When developed economies begin to

reshore manufacturing and other commercial activities, this invariably strikes developing countries in an adverse fashion, diminishing their capital pool, technological prowess and human capital development, which are fundamental components of economic development (IMF Research Department, 2023). There are also demographic and labour market constraints that could create bottlenecks if developed countries reshore too large a share of production. Going too far in this direction would require more immigration and trigger a brain drain in developing countries.

26. The IMF now notes that security considerations are increasingly altering FDI flows, particularly in the most critical sectors like semi-conductors. These are leading to intensifying capital movements among strategically aligned Allies and partners. Mounting trade tensions between the U.S. and China have been a catalyst for this shift. The impact has been greatest on emerging and developing economies that confront shortages of capital needed for knowledge generation, technology access and economic advancement. In global terms, these strategies are likely to reduce world-wide output over the long term (IMF Research Department, 2023). Free trade generates wealth, but it also can lead to ever growing income disparities between countries that feel that the global trading order has brought benefits and those that feel that they have not. This sentiment can become a catalyst to fragmentation and is evident in the view of many developing countries open trading order promoted by the WTO primarily benefitted powerful developed countries.

27. The tendency to concentrate investment among Allies and partners is most evident in strategic sectors with the capacity to shape national security more broadly. Hedging against the risk of overreliance on strategic rivals or strategic competitors is thus not only shaping trade flows but also altering patterns of transborder capital flows at the expense of global growth rates. Moreover, these developments could hasten the consolidation of economic blocs at the expense of a broader multinational multi-regional trading and investment order. Economists argue that the emergence of bloc-driven investment flows would impose significant welfare costs globally as they would lead to sub-optimal trade and investment flows.

IV- THE CHINA AND RUSSIAN SECURITY CHALLENGES AS CATALYSTS FOR GEO-ECONOMIC FRAGMENTATION

28. China's growing economic clout and its revisionist views on the rules of the economic game have played a central part in rising scepticism in political strategic communities about the virtues of trade and multilateralism. The old assumption that trade and the prosperity it fostered would somehow eradicate or at least diminish international and ideological tensions, for example, has proven to be demonstrably false. The Chinese case makes this apparent. Indeed, ever-deeper Western trade and investment ties with China did not diminish the threat that country posed to Indo-Pacific security. China has benefitted enormously from access to Western capital, technology and education that resulted from this broad market opening, including its accession to the WTO. It has become vastly more wealthy and technologically capable as a result, and many Western businesses have generated enormous earnings from China's growth and from its huge pool of talent. And while it might be argued that Chinese society is significantly more pluralist than it was, for example, during the Cultural Revolution, in recent years it has unambiguously backtracked even on that front as the Government has reasserted tight control over Chinese civil society, not coincidentally perhaps, using technologies and know-how generated through foreign trade. Its direct investment strategies often have a worrying strategic and even military dimension with potential long-term consequences for the West. This is particularly evident in its acquisition of ports and other strategic transportation and communications infrastructure which, while ostensibly commercial in nature, could one day serve China's military interests.

29. China's acquisition of ports and other strategic infrastructure has accorded it economic leverage over significant number of countries in Africa, South America, and Asia itself. China uses financial instrument including soft loans to leverage its economic influence for their own strategic

ambitions. For some African countries, for example, it is extraordinarily difficult to stand up to China in the face of the kind economic dependence the Chinese investment strategy fosters. Beijing has also used corruption in a strategic fashion to gain access to a range of assets and commodities that serve its economic and strategic interests to the detriment of these countries. By extension, this undermines the transatlantic community's strategic interests in building a rules-based international order.

30. Indeed, China has leveraged the enormous wealth it has generated in the trading system to underwrite both its ambitious military development and its fundamentally anti-democratic domestic security apparatus. China's toolbox for economic coercion has become more sophisticated, targeted, and institutionalised. Regulatory investigations, export controls, trade restrictions and legal designations are part of a growing menu of tools replacing earlier unstructured instruments like consumer boycotts. China's sanctions regime is increasingly formalised yet remains unpredictable in its concrete application (Agora Strategy, 2025). The challenge China poses today is broad and extends across the economic, military and ideological spheres. Xi Jinping's neo-Maoist ideology, and his government's ever-more apparent hegemonic aspirations, have crushed previous hopes that economic development would put China on the road to democratic governance and peaceful coexistence. Instead, it has provided it with the means to seek to build a world in its own image while it creates the infrastructure and lays the diplomatic foundation for projecting power globally. This, in turn, has raised fundamental questions about the security dangers of unhindered trade with China.

31. These concerns, in turn, have inspired a push to reduce western dependence on supply chains for strategic goods and commodities running through China. China's decision to slash the export of essential medical equipment during the Covid-19 pandemic and the shutdown of Chinese ports critical to a range of global supply chains demonstrated the kinds of risks that overreliance on China posed. In response to these concerns, Western governments launched "derisking" policies across a range of industries to reduce reliance on Chinese strategic imports and generate more secure supply chains for these goods. Home-shoring, friend-shoring and near-shoring efforts were the natural result, and these efforts have begun to recast the geography of global trade.

32. Russian aggression in Europe has also been a factor in the growing securitisation of commercial policy. This too is accelerating geo-economic fragmentation. Russia is a far less consequential player in international commercial and technology markets than is China – with the exception of energy, food and some raw materials – but it is a highly aggressive, revanchist nuclear power violently upending the international rules-based order to favour the exceedingly narrow interests and mores of kleptocratic autocracies like itself (Applebaum, 2024). Russia's blatant violation of international law in Ukraine and Georgia, its predilection for wielding its substantial energy endowments in a coercive and threatening fashion, its aggressive posture in Africa and the Middle East, its promulgation of autocratic values, its overt deployment of corruption to further these ambitions and its ever-closer cooperation with China, Iran and North Korea to challenge the West across myriad domains are all elements of its greater plan to upend the international order.

33. Although the West has severed economic, financial and cultural ties with Russia, it has not become autarkic and does not aspire to self-sufficiency despite some of the rhetoric coming out of the Kremlin. Russia's economy cannot function without trade. The state depends on revenues derived from the export of energy, minerals and agriculture and its industry cannot run without foreign-produced machinery and components. This is precisely why it has sought to consolidate ties with like-minded states including China, Iran and North Korea, tightened ties to the vassal state of Belarus, pushed for the expansion of the BRICS grouping, and reached out to a wide range of developing countries in the so-called Global South. Russia and its closes partners want to assemble a coalition of countries constituting an alternative bloc unhindered by Western rules and sanctions.

34. It is important to note that many of the countries Russia and China are courting do not see themselves as entirely with either the Russian or Chinese camp. The reasons are manifold and many of these countries also have important diplomatic and economic relations with the West, and they certainly want to preserve these. This presents Allies with an opportunity to leverage that interest

and work to prevent these large groups of developing countries from becoming satellites of any single bloc or superpower. Efforts to cultivate links with these countries based on shared interests will undoubtedly constitute an important feature of the emerging international order.

35. Russia's vision for the world is fundamentally anti-liberal and anti-democratic in orientation. It wants an order that will help cement Putin and his fellow autocrats' hold on power and the control they exercise over national economies. Indeed, Russia's international economic vision is unimpeded by notions of transparency, open competition, patent protection and measures to limit corruption among other things. Rather, it is transactional as well as anti-system in orientation and seeks to find common ground opportunistically with potential partners (Grozovsk, 2024; Applebaum, 2024). That vision largely resonates among many countries in the developing world now poses a daunting set of diplomatic challenges to Allied countries and their partners.

36. It is noteworthy as that well that China has played the most significant role in helping Russia to circumvent Western sanctions or at least to minimise their impact. Although China largely refrains from directly supplying weapons for use in Russia's war in on Ukraine (in order not to trigger Western sanctions on its own goods), Beijing nevertheless provides Moscow all manner of components and equipment needed to produce weapons including microchips, machine tools, optical equipment and a range of dual-use technologies. China's share of goods exports to Russia for its military sector and dual technologies has risen from 32% of the total to 89%, and it has also assumed an outsized position in Russia's consumer market. Importantly, many of the goods it sells to Russia do not originate in China but are, rather, re-exports of Western-manufactured goods. The Kyiv School of Economics reports that 95% of the non-Russian components found in captured Russian military equipment originates in countries supporting Ukraine (Grozovsk, 2024). It is worth adding here that sanctions will never be entirely effective in limiting technology proliferation in either the defence or commercial sector. This means that sanctions cannot be a stand-alone policy. They will always suffer from leakages and thus can delay rather than entirely stop proliferation. A far superior strategy in the long run is to redouble efforts to dedicate resources to push out the technology frontier and consistently gain advantage through scientific and engineering breakthroughs.

37. Russia's defence industry has modernised significantly over the past 15 years, and this accounts for the high share of Western-generated technologies it requires for everything from fighter aircrafts to tanks, artillery and submarines. Unlike China, Russia has not developed a broad-based high-technology sector despite its relatively capable scientific sector. It is too corrupt and too poorly organised to do so and thus relies heavily on digital technologies produced elsewhere. Despite Western sanctions, high technology inputs, including essential microchips, have continued to flow into Russia to sustain its booming, if nonetheless beleaguered, defence industries, which now must source from black and grey markets to meet soaring government demands for new equipment needed to sustain the war (Bilousova et al., 2024).

38. Russia has very quickly reoriented supply chains so that intermediaries like China are now providing critical components once sold directly by Western firms. That many of these production inputs continue to flow to Russia through these obscure supply chains is particularly worrying, and points to a real gap between formal sanctions and the efficacy of their application. That is not to say that sanctions have had no impact. They have certainly raised production costs in Russia and helped to undermine the quality and quantity of what its defence industry can produce. In some cases, sanctions have made it impossible for Russia to access certain critically needed inputs to its military production, and, in other cases, has significantly increased the price of the goods, thus raising the burdens on the Russian state and economy more generally. Nevertheless, security experts argue that governments need to undertake more intensive efforts to enforce existing sanctions.

V- IMPACTS ON FOOD, ENERGY, AND MINERAL COMMODITIES

39. Once relatively integrated food, mineral and other commodity markets are also fragmenting, in part, because of Russia's war on Ukraine and China's mounting military and industrial challenges to the democratic community of nations. Between 2021 and the end of 2023, the number of restrictions on global food and mineral commerce doubled according to one IMF study, which warned that a continuation of these trends would trigger significant market turmoil and price swings with outsized impacts particularly on developing countries. Chinese and Russian efforts to acquire strategic mineral mines, agricultural land and energy assets in developing countries is ever more concerning in this regard. If a power like China acquires control over land, infrastructure and processing it effectively controls the broader commodities supply chain. Achieving a dominant position over these supply chains generate leverage to control prices, which becomes yet another source of international power. The same logic applies to energy, and this is why Russia is so active in seeking to control foreign production, pipelines, and naval choke points through which energy flows. Food security poses a long-term global challenge rife with security implications. The problem is particularly acute for the world's poorest countries, which spend the greatest share of domestic income to feed their people. In these countries, food price hikes can quickly result in shortages that spur political instability and conflict, both of which can, in turn, trigger mass-migration events which only broaden the impact. A growing global population will invariably burden an agriculture sector already coping with climate-driven and policy challenges. Feeding the world under rapidly changing climatic conditions will require a complex array of approaches that may run up against other societal ambitions, including environmental concerns.

40. The IMF estimates that agricultural market instability linked to market fragmentation will have the greatest impact on developing countries with long-term GDP loses approaching 1.2% due to disrupted agricultural imports. This could worsen food security because poorer countries are more reliant on food imports and spend a higher share of GDP on these imports. Since 2019, trade restrictions on food commodities have surged globally. The war in Ukraine illustrates the problem. It has harmed some of the world's poorest countries because of Russian attack on Ukrainian ships and ports. Ukraine has traditionally sold substantial amounts of commodity grains and fertiliser to poor developing countries. The collapse of Ukraine's grain exports precipitated a global spike in food prices that struck developing countries and contributed to inflation across the OECD.

41. The IMF estimates that further fragmentation of global food markets would exacerbate price swings while widening price differentials across trading blocs precisely because global production of the most traded food commodities is highly concentrated. Fragmentation would also weaken the buffers that minimise price swings. For these reasons, governments must undertake sustained efforts to ensure the unhindered flow of food into global markets with special consideration of the least developed countries, which confront climate change and the related drought crisis. The Turkish-UN-brokered Black Sea Grain Initiative provides an example of how, even in wartime conditions, governments must endeavour to keep food commodities flowing to market. The collapse of grain exports from that region (Ukraine alone had typically provided forty-five million tons of grain to world markets per year) had triggered a disastrous rise in global food prices with very adverse impacts on the least developed countries (Alvarez, Andaloussi, and Stuermer, 2023). A recent IMF study assessed the costs of a fragmentation of key commodity markets into competing blocs. It concludes that greater market fragmentation would erode existing buffers that moderate price swings. Food and markets would thus grow more prone to price fluctuations with important implications for long-term supplies (Alvarez et al., 2023). This would threaten the stability of developing countries that spend a significant share of GDP on food with some countries potentially cast into a state of fragility as a result.

42. There are other security concerns that invariably create dilemmas for policymakers. Some European farmers, for example, are concerned that the kind of production limits EU-mandated green agriculture policies entail may result in reduced food production that will leave EU countries less able to meet both domestic and global food demand. This also undermines Europe's strategic

position in global food production. This becomes all the more important assuming over time as climate change drives food production northwards and Europe becomes more important for global food production. If Europe squanders this important source of leverage, it will undermine its own position in the world. If Europe were to move to an entirely organic food production, for example, it would produce less food for itself and for international markets. This could lead to further erosion of buffers and leave the continent even more dependent on non-European producers while subjecting developing countries to more price instability.

43. Russia is now under heavy sanction for waging an illegal and unjustified war on Ukraine. Europe, which was traditionally its most important energy customer, has, at great cost, moved to wean itself from dependence on Russian oil and gas and a range of other commodities that it sells on global markets. This constitutes an important segmentation of what was previously a more seamless and open set of commodity markets. The judgment in the West and particularly in NATO member countries is that national security considerations in this case trump economic ones. The security risks of energy dependence on relatively cheap and accessible Russia energy are too daunting for those democratic countries in Europe that have traditionally sourced energy from it. Since Russia launched its full-scale war on sovereign Ukraine, Allied countries on both sides of the Atlantic have also judged it in their security interest to deny Russia access to a range of goods and technologies that might enable Russia's military. This is also altering relations with Russia's key trading partners including China, the BRICS, and an array of countries in the so-called Global South. The prospect of secondary sanctions on those perceived to be aiding Russia's war effort through trade now promises even more security-driven market segmentation.

44. Europe's decision to slash energy imports from Russia has not, by any stretch, constituted a cost-free exercise. Europe had come to rely heavily on low-cost Russian energy, and this imposed costs on European consumers and energy-intensive firms. The costs of sanctioning Russia have thus been substantial to Allied countries. They have had to weigh these costs against the security risks generated by purchasing significant quantities of energy from a country determined both to upset the foundations of peace and security on the European continent and, more specifically, to use these energy revenues to underwrite its military adventurism. What was once a relatively seamless energy market has fractured at substantial cost both to Russia and its energy clients in Europe. But, the fragmentation does not end there, as the matter has become a source of tension between Allied countries and those countries that continue business as usual with Russia and particularly those countries actively helping Russia to circumnavigate sanctions.

45. Tensions in strategic mineral markets today pose another set of challenges to developed democracies, including NATO Allies that are increasingly reliant on imports from strategic rivals for inputs needed by their defence, technology and energy sectors. Turmoil has been particularly evident in the mineral mining and refining sectors. Rare earth and strategic mineral mining and processing today are highly concentrated, and China's lead in these sectors is growing. Developing alternative sources will require time, investment and regulatory changes. There are concerns that mineral production concentration in a more fragmented world would slow the transition to sustainable energy as these commodities are essential for solar energy and battery production. Price hikes and supply shocks would lower demand and undermine investment in this ever-more important sector, the development of which is fundamental to international security (Alvarez et al., 2023).

46. China's unreliable stewardship of critical mineral supply chains and Russia's war on Ukraine have left allied countries vulnerable to supply disruptions. The future of the digital economy, sustainable energy industries and the defence sector depend on access to a range of critical minerals. The European Commission recently noted that 63% of the world's cobalt used in batteries is extracted in the Democratic Republic of Congo; 97% of EU's magnesium supply is sourced from China; and 100% of the rare earths used for permanent magnets are refined in China. China now holds a 90% share of the market for several key strategic rare earth minerals including gallium, and magnesium. Security experts suggest that this level of sole-source dependence is highly risky. For this reason, the European Commission, through the Critical Raw Materials Act (CRMA), and member governments individually are working to diversify and stabilise relations with a broader array

of suppliers of these critical minerals (European Commission, European Critical Raw Materials Act). The CRMA is part of an EU effort to operate from a position of unity in this game and gives the Commission powers to help ensure reliable access to industrial inputs essential to the Union's long-term economic development. The European Commission heads the European Critical Raw Materials Board (CRM-Board), which oversees and coordinates the implementation of the CRMA in cooperation with member state representatives. It focuses on a list of critical raw materials that is to be updated every three years. It listed thirty-four critical raw materials in 2023 (Schulze, 2024).

47. The energy dimension of this mining quandary is particularly important. Russia's war on Ukraine has demonstrated how vulnerable Europe became to Russian suasion as a result of its powerful position in supply Europe with gas and oil. Reducing this dependence has proven very painful and very costly. Europe needs secure and diversified alternate energy sources. Solar and wind power cannot fully replace oil and gas given current technologies, but they can make an enormous difference and contribute to energy security. It is particularly important that Europe achieve autonomous access to energy technology that will, in turn ensure long-term supplies of renewable energy. Currently the level of dependence on China for these technologies and strategic minerals is dangerous and unacceptable. This will first require more secure access to the critical minerals required to manufacture the equipment needed to generate these sustainable and secure forms of energy. By 2030, the EU aims to increase its capacity to mine, process and recycle a range of strategic raw materials while diversifying the countries from which it imports these resources. The CRMA states that single countries should supply no more than 65% of any strategic raw material. China's market position here is particularly concerning as it is not only a key producer and/or processor of many of these strategic minerals but also an end user itself.

48. The EU seeks to deepen strategic trade ties with other mineral supplier countries to diversify its supply base but confronts an array of challenges as, in many cases, it needs to raise investment capital to help develop these sectors in capital-starved countries (Schulze, 2024). Europe must be prepared to outbid rivals to secure mineral access. A new raw materials diplomacy is emerging, however, that could provide producer countries with leverage as they consider competing bids from prospective clients. Indeed, developing countries with critical mineral endowments are increasingly inclined to demand concessions from their trading partners, including investment in local processing facilities and other kinds of support aiming to help them move up the production ladder and add value into the supply chain. The range of capacities among developing suppliers is significant. More developed countries like Brazil, Argentina and South Africa already have significant production capacities and enjoy leverage at the bargaining table. Less developed suppliers depend more on mineral exports to generate foreign exchange and have less industrial capacity and access to capital needed to finance the processing of these minerals. The challenge of supporting advanced processing development in these countries is substantial and potentially very costly. Countries from both categories are reluctant to write off Russia and China as potential partners, and this poses diplomatic and negotiating challenges to Western countries seeking to secure critical supplies. But it is important for Allied countries broadly to recognise that by trading with these countries they also generate a degree of economic leverage that counterbalances the leverage that rivals like Russia and China exercise. Allies should define which technologies can be shared through trade with these countries, in part, to counterbalance the influence of strategic competitors.

49. The West must therefore not only contend with the risks of relying on China for key raw materials, but it must also compete against it and Russia which are actively courting current and potential mineral suppliers in the developing world. This is becoming something of a great diplomatic game. The challenges here are real as China and Russia tend to refrain from imposing requirements on matters like transparency and anti-corruption and are more likely to use corruption to win concessions. They are also tapping into shared concerns, for example, about relying on dollar-denominated payments systems that expose them to Western diplomatic leverage.

50. China's Belt and Road Initiative provides both a framework and a funding base for these investment relationships. There is, however, growing dissatisfaction among some of the countries that have accepted Chinese investments under its aegis. Some governments have complained that

China has failed to meet promised commitments and overpromised the kinds of capacity development support extended to its trading partners. China nevertheless continues to invest heavily in its raw materials trading relations and outspends the EU to line up future access.

51. If China's Belt and Road Initiative embodies a Chinese vision of a resource partnership network, the EU has elaborated another vision, although it has not matched the kind of resources China has thrown into its outreach strategy. The EU is seeking to consolidate its partnerships with emerging markets and developing economies through its Global Gateway strategy. That strategy seeks to deepen Europe's ties with a broad array of partner countries to develop linking infrastructure supporting digital, climate, energy, transport and education and research development (European Commission, Global Gateway). It has also established a Critical Raw Materials Club for countries willing to cooperate on projects strengthening global supply chains and expanding its network of Sustainable Investment Facilitation Agreements and Free Trade Agreements. This effort also challenges unfair trade practices that seek to shut the EU out of these markets. In its own words, the EU wants to forge strategic partnerships with "reliable partners to promote their own economic development in a sustainable manner through value chain creation in their countries, while also promoting secure, resilient, affordable and sufficiently diversified value chains for the EU" (European Commission, European Critical Raw Materials Act).

52. For its part, the Biden administration put significant funding into the development of domestic production of strategic raw materials while launching a concerted effort to secure international supply chains. It was even more explicit than the EU in citing its ambition to reduce its dependence on China for the supply of critical raw materials. It also formally sought to engage democratic Allies and partners in parts of this effort. The 2022 Mineral Security Partnership (MSP), for example, recognises the need to form partnerships with US Allies to harmonise financing efforts while reducing the financial and other risks of prospective raw material development projects. The MSP engages fourteen mostly industrialised countries together with the EU.

53. NATO has been actively addressing the challenge of ensuring sufficient and continued access to critical raw materials in the context of its efforts to ramp up defence industrial capacity and production. In June 2024, NATO Defence Ministers endorsed the Defence-Critical Supply Chain Security Roadmap which identifies five lines of effort, including the identification of key strategic materials, the establishment of a NATO community of interest, the creation of assessment-sharing mechanisms, the identification of strategic stockpiling recommendations, and the identification of recycling and substitution opportunities (NATO, 2024a). As such, NATO has identified 12 defence-critical raw materials and, drawing on a study by The Hague Center for Strategic Studies, assessed their level of risk for fighter aircraft, main battle tanks, missiles, submarines, corvettes, artillery, ammunition, torpedoes, and assault rifles (Girardi et al., 2023; NATO, 2024b). The updated Defence Production Action Plan, endorsed by Allied Defence Ministers on 13 February 2025, takes these initiatives forward. It concentrates, among others, on defence production and industrial capacity challenges and identifies the protection of NATO's defence-critical supply chains as one action item (NATO, 2025a).

VI- UNEXPECTED TRANSATLANTIC ECONOMIC FRAGMENTATION: A COMING TRADE WAR AMONG ALLIES?

54. Since taking office in January, the Trump administration has reshaped the global trade environment with its assertive policies and created significant uncertainty for Allies on both sides of the Atlantic. Days after the inauguration, the Trump administration announced its intention to impose 25% across-the-board tariffs on Mexico and NATO ally Canada (although applying lower rates on oil and gas imports) and 10% across-the-board tariffs on China. All three countries warned that they would respond with a series of retaliatory trade measures which they would ratchet up over time. The administration briefly suspended tariffs on Canada and Mexico only to resurrect them again in

March and the matter continues to roil North American trade relations. Then, in early February, President Trump announced 25% tariffs on all steel and aluminium imports to the United States and has since ratcheted these tariffs up to 50% (Canada is the most important steel exporter to the United States and is a major source of US imports of aluminium) (Draper et al., 2025). In April, the President further escalated his tariff campaign with the announcement of 'reciprocal tariffs' on all countries ranging from 10% to 50% based primarily on each country's trade surplus with the United States.

55. The Trump administration has since paused these reciprocal tariffs and offered countries a 90-day window to negotiate settlements that rebalance the bilateral goods trade and remove non-tariff barriers affecting US exports, such as value-added and digital services taxes (Draper et al., 2025). As of early July 2025, three countries have negotiated such settlements: China, the UK and Vietnam. On 8 May, the United States and the United Kingdom agreed to a deal which lowers US tariffs on car and aerospace imports in exchange for duty free quotas on US beef and ethanol entering the UK (Government of the UK, 2025). Similarly, the US and China reached an interim agreement on 12 May which cut tariffs for 90 days to 30% and 10% respectively – significantly lower than previous levels, which US Secretary of the Treasury Scott Bessent described as amounting to an effective trade embargo (Leahy et al., 2025). Other countries must choose between enacting retaliatory measures or seeking settlements, but the case of the UK illustrates that the latter option is not so straightforward. The 8 May agreement stipulated that the U.S. and UK would discuss quotas for steel and aluminium at MFN (most favoured nation) rates, but in the meantime, the Trump administration has imposed a 25% tariff which could double to 50% if no agreement is finalised (Foster et al., 2025).

56. The Trump administration argues that these tariffs, which caused the U.S.' average tariff rate to jump from 2.5% in January to 15.8% in June, will somehow reverse US trade deficits while growing the US economy, protecting jobs and increasing government revenues (Budget Lab, 2025). The EU questions the premise of US tariffs and has paused a set of equivalent retaliatory measures on EUR 21 billion of US exports until a tentative agreement is reached (Bounds, 2025). A settlement between the U.S. and EU was reached on 27 July 2025, establishing a single, all-inclusive US tariff ceiling of 15% for EU goods. Despite the trade deal, underlying tensions will remain in the transatlantic economic relationship.

57. There have been signs of eroding transatlantic trust on trade matters for several years. This was evident in the divergent approach the United States and Europe have taken to meet the Chinese trade challenge. Some in Europe worry about relying too heavily on the United States in securing access to critical raw materials, in part, because Brussels has argued that the subsidies and Buy American provisions of the Inflation Reduction Act (IRA) were protectionist, actively discriminated against European industries and thus created an uneven playing field. This led the EU to adopt its own state aid policies and to deploy subsidies to offset the negative impacts of US policy on European industries (European Parliament, 2023). Efforts to resolve trade tensions arising out of the IRA have so far failed and are likely to remain a source of discord over the coming years.

58. Discord with the Biden administration also emerged over managing semiconductor trade. In 2023, the United States imposed strict export controls on advanced semiconductor equipment to limit the transfer of critical technologies to China. Beijing relies heavily on equipment from the United States, the Netherlands and Japan to manufacture advanced semi-conductors it needs for an array of industries. US officials, however, have urged the Netherlands to restrict export of ASML's advanced chipmaking machines to China. In 2019, the Netherlands prevented ASML from selling one of its most advanced machines to China, and in 2023, the U.S. secured a deal with Japan and the Netherlands to tighten these controls, extending them to cover ASML products not included under Dutch regulations (Kingma, 2024). Under pressure from the U.S., the Netherlands limited ASML's export of advanced manufacturing devices to China, particularly the extreme ultraviolet (EUV) lithography systems. Since September 2024, ASML also requires a license to supply spare parts and software updates for chip-making equipment already sold to Chinese customers (Sterling, 2024). But it is important to note that the profitability of ASML demands market scale, and the

Chinese market provides this. ASML's sales to China generate roughly 20% of its total revenue, income it needs to cover its formidable investments in generating this technology (Koc and Thomas, 2025). The Dutch government has adopted a pragmatic and balanced approach to manage the issue. On a broader scale, developing capabilities in this highly advanced and very expensive industry requires market depth. Therefore, cooperation among like-minded countries, even beyond the alliance, makes great sense. For example, a coalition of European partners including Austria, Belgium, Finland, France, Germany, Italy, the Netherlands, Poland, and Spain will work with the EU Commission to collaborate on advanced semi-conductor development. It will seek to develop secure supply chains, develop innovative technologies across the whole semiconductor value chain, support startups and scale ups, and ensuring close coordination among the partners. This project demonstrates the relationship between technology advance and the quest to achieve a degree of strategic autonomy.

59. A trade war between the United States and its Allies would have very adverse impacts for all concerned and would make it even more difficult, fiscally and politically, to fund needed higher defence spending. The new NATO defence spending targets agreed to at the Hague Summit are part of a broader effort to address transatlantic burden sharing, but trade restrictions could threaten to undermine European Allies' and Canada's ability to reach these targets and could ultimately hinder the Alliance's post-2022 defence and deterrence transformation (NATO, 2025b). For example, a trade war could threaten transatlantic weapons production. The armaments industry is highly globalised, with production in the United States heavily reliant on foreign components. US tariffs, by raising the cost of imports, would make American weapons production more expensive, affecting the competitiveness of US exports and tarnishing the US' reputation as a reliable defence industrial partner (Shkolnikova, 2025). The consequences of a trade war for Allied security go beyond defence industrial production, however. Trade restrictions tend to promote illicit activities by encouraging businesses to evade tariffs. Criminal groups, especially transnational ones, are likely to take advantage of the current tariff environment by offering smuggling and counterfeit services. Part of the rationale for the Trump administration's tariffs is to stem the flow of illegal drugs into the United States, but trade restrictions could materially benefit and reinforce cooperation among cartels responsible for drug trafficking (Mia, 2025).

60. If a sustained trade war among Allied nations unfolds, it would gravely complicate alliance relations at an extraordinarily precarious moment when democratic nations confront serious strategic challenges in Europe, in Asia and in a developing world that China and Russia are heavily courting (Swanson, 2025). A breakdown in trade and diplomatic relations among Allied countries would represent a serious and unwelcome acceleration of geo-economic fragmentation along fault lines within rather than beyond the Alliance. Allied nations have jointly upheld the open international trade and investment order for more than 70 years and have always managed to overcome occasional flare ups over trade matters. The United States and Europe must now strive to do so again to preserve this historic transatlantic relationship. The rise of competitor countries like China and the BRICS group, which are demanding more of a say in rules-making while competing against the West for influence with developing countries, has challenged the collective leverage of Allied nations. Meeting these formidable challenges will become more daunting if trade issues drive a wedge down the middle of the Atlantic. It is finally worth noting that EU and US firms have EUR 5.3 trillion worth of investment in each other's markets (2022 data). US exports of goods and services to the EU support 2.3 million jobs in the U.S., and EU firms' investments in the US employ 3.4 million people. This is a trading partnership that continuously generates prosperity on both sides of the Atlantic (European Commission, Trade and Security: United States).

VII- TOWARDS AN ASSESSMENT OF THE COSTS OF GEO-ECONOMIC FRAGMENTATION

61. In broad terms, the world economy remains relatively integrated. The international community has until now restricted backsliding to several sectors although there are now fears of an impending global trade war. Ever more fraught and misleading rhetoric about the dangers of trade and multilateralism in general and a growing tendency to use tariffs not only for security reasons but also for blatant political purposes, suggests that fragmentation could well accelerate over the coming years. Economists, many of whom continue to defend the virtues of open trade and investment rules, argue vociferously that any limits on trade should be very targeted when implemented. Trade taxes, they argue, impose blunt and damaging costs on exporters, importers and consumers and might themselves have adverse security consequences. They undermine trust and raise risk premia beyond all the deadweight costs that they are known to inflict. The costs of tariffs raise prices paid by consumers for all manner of goods, and they undermine economic efficiency and employment. They also raise production costs, for example, by increasing the cost of essential inputs imported from abroad, sometimes compelling manufacturing companies to purchase more expensive domestically produced goods. Greater input costs result in higher final prices that undermine international competitiveness, resulting in lower foreign sales.

62. Economists have begun to assess the potential costs of geo-economic fragmentation more broadly, and policy makers should consider their findings when balancing security and economic considerations. The models suggest that the economic costs of fragmentation depend on the degree to which governments have undermined multilateralism. In the most extreme cases, some countries could undergo as much as a 10% reduction in output (Norring, 2024), although costs to individual countries would vary depending on the structure of the national economy and its level of openness. Models indicate that the greater the level of fragmentation, the higher the costs rise. In one model, the formation of two competing trading blocs would result in reduction of 22−57% in aggregate trade flows and for countries outside of the blocs the costs could even be higher unless those countries continue to enjoy open trade with both sides (Campos et al., 2023). The costs of fragmentation are particularly high for countries that were previously open, as these countries would confront serious up-front adjustment burdens and very sub-optimal new supply chains. Those adjustments would include rerouting myriad production supply chains, which, in some cases, have taken years to build and reinforce. A recent European Central Bank study suggested that “trade fragmentation would be a lose-lose situation both at the global and at the country level and that the costs would be unevenly distributed, with countries more exposed to trade in intermediate goods being more affected compared to more closed economies. While the estimates are subject to both upside and downside risks (depending on the magnitude and scope of any fragmentation scenario), from a purely economic perspective, trade fragmentation would entail sizeable costs in terms of substantially distorted trade, decreased welfare and higher prices (Attinasi et al., 2023).

63. Growing reliance on tariffs as a tool of diplomatic suasion and unadulterated protectionism could prove particularly damaging. A 2023 IMF study suggested that rising trade restrictions could trigger a 7% fall in global economic output amounting to USD 7.4 trillion. The global food commodity supply and price crisis that war in Ukraine triggered provides a preview of the kind of shocks additional trade restrictions might impose on global growth. If key players begin to resort to tariff-led commercial policies, this will trigger cascading retaliations with profoundly negative impacts. It is important to recall the role a similar pattern both globalised and deepened the Great Depression of the 1930s. Trade wars today would poison diplomatic relations, foment new international tensions, undermine trust even among Allies**,** aggravate income disparities, increase food insecurity and undermine the kind of cooperation needed to cope with enduring international security, economic, humanitarian and climatic challenges (Hakim and Mohseni-Cheraghlou, 2024).

64. Rising geo-economic fragmentation would also slow technological diffusion, weaken productivity growth, undermine labour skills development and have a particularly adverse impact on developing countries which have benefitted enormously from trade transfers linked to international

trade and investment. This process has already begun as the United States, along with some of its Allies, has justifiably sought to lower its dependence on Chinese technologies (Norring, 2024). The prospect of a transatlantic trade war would undoubtedly accelerate the process and launch Allied countries into a period of enormous uncertainty and tension.

65. Signs of fragmentation are also evident in the international monetary system. Russia and China perceive their reliance on the dollar for reserves and international settlements as a strategic vulnerability. Russia has seen its central bank assets held abroad frozen and its banks can no longer participate in the SWIFT interbank payments system. This has functioned as a catalyst for a Russian-Chinese-BRICs effort to create an alternate payments system over which the United States and Europe will have no or little leverage. It is important to acknowledge the risk of overplaying one's cards because if the power to switch off an important financial instrument like SWIFT is used too frequently, it will invariably trigger efforts to build alternate systems which will completely eviscerate that particular source of leverage. A proliferation of these alternate systems will dramatically raise financial transaction costs. Some economists see these developments as heralding a new order characterised by significantly more fragmented capital flows, payments systems and reserve currency management. Again, the costs here would be widespread and deep with models again suggesting that developing countries could pay the highest cost. This fragmentation could also become a source of instability by undermining financial risk sharing schemes like Central Bank swaps and IMF emergency credits, and this, in turn, would complicate financial crises management. Financial fragmentation would weaken the Global Financial Safety Net which has helped mitigate the impact of sovereign debt crisis. (Norring, 2024).

66. The economic fallout from the war in Ukraine helps illustrate the potential costs of fragmentation. That war and the sanctions it has precipitated have had a dramatic impact on global commodities prices including food, energy and mineral prices, which had already spiked because of supply chain problems linked to the Covid-19 pandemic (Bolhuis et al., 2023). Rising commodity prices, in turn, directly fed into global inflation. Moreover, these developments also coincided with growing trade tensions between the United States and China, which resulted in restrictive trade policies with important spill over impacts on other trading nations.

67. Recent economic analysis of international economic fragmentation suggests that the costs to global GDP are real. Studies suggest that the degree of output loss hinges on the type of constraints governments impose on international commerce. But even ostensibly limited interventions like targeted friend-shoring can resonate globally. One recent study of friend-shoring suggested that this process of relocating manufacturing facilities to trusted partners or allied countries could result in long term losses approaching 4.7% of real GDP in some countries. Losses are potentially greater for low-income countries than they are for more developed countries. One economist summarises a series of model-based simulations exploring the impact of re-shoring, near-shoring and friend-shoring on various countries in this way: "The simulations show that the global effects of geo-economic fragmentation tend to be negative and, in some cases, significantly so. Open developing economies like those in ASEAN are the most vulnerable to these shocks, especially near-shoring given that their export markets are global rather than just regional; ASEAN real incomes contract by about 5% on a permanent basis. NATO+ economies, which are all OECD members, are far less vulnerable to fragmentation. Trade implodes. Global export declines are much greater overall than income, with contractions of over 12% under re-shoring and near-shoring and about 7% under friend-shoring. Near-shoring is particularly damaging to Asian economies; ASEAN trade contacts by about 18% and RCEP by about 15% on a permanent basis. These are large hits to countries that have led the globalisation process over the past generation and demonstrated how outward-oriented policies could significantly raise standards of living, stimulate growth and productivity, and reduce poverty" (Plummer, 2023).

68. Another study exploring the potential costs to commodity trade of geo-economic fragmentation notes that costs to these sectors could be globally consequential. This study disaggregated mining and agricultural sectors and looked at impacts across a range of 136 commodities. Their conclusion suggested that in cases of market fragmentation, "Output losses tend to be larger the deeper the

fragmentation scenario, and if forced to choose, low-income countries experience larger losses than advanced economies and emerging markets. Trade barriers limited to specific countries or specific sectors, whilst allowing the rest of the world to trade freely, contain GDP losses in the long run as production processes and source countries adjust, and trade diversion provides a boost to countries outside of the main trade blocs. In contrast, a severe fragmentation scenario leads to larger losses, particularly for low-income countries that are forced to choose between one bloc or the other" (Bolhuis et al., 2023).

69. However, it is important to recognise that achieving security is invariably costly, but the economic and societal benefits of greater security can outweigh these costs. Reshoring some elements of strategic manufacturing may prove more costly than extended global supply chains, but they can also foster economic activity, for example, by lowering risk, which itself is a cost, and bolstering domestic manufacturing. But it is always important for government and industry to weigh carefully the costs and benefits of reshoring or friend-shoring.

VIII- CONCLUSIONS

70. In purely economic terms, a trade and investment order divided into blocs rather than globally integrated is sub-optimal. It would result in sourcing from suppliers not providing the best quality/price ratio. It would mean selling in markets not offering the best prices, it would push investment where the return would not necessarily be the highest and, might in some cases, result in labour or skills shortages that could not be rectified through immigration because of tight limits established by governments. Market scale would diminish. Moreover, deep fragmentation would likely produce conflicting payments systems, diverging product standards, different trading and investment rules, and competing laws governing international commerce. In security terms, this could well produce new frictions that might trigger instability as would the high burdens shouldered by the developing world in this scenario. But there would be security risks associated with any effort to over-securitise the international economic order through excessive protectionism.

71. Yet, greater security generates its own economic benefits. When market players operate in a geopolitically secure context, they are more willing to engage in economic activity and will, for example, more readily contemplate undertaking long-term investments both at home and abroad, other things being equal. A state of societal or geopolitical security tends to push down interest rates while compelling geopolitical risks, like the threat of war, will drive them up. Studies have suggested that increased geopolitical tensions can correlate to lower investment, falling equity markets and greater unemployment. The economists Caldara and Iacoviello write that "Higher geopolitical risk foreshadows lower investment and is associated with higher disaster probability and larger downside risks to GDP growth. The adverse consequences of geopolitical risk are stronger for firms in more exposed industries, and high firm-level geopolitical risk is associated with lower firm-level investment" (Caldara and Iacoviello, 2022).

72. One challenge governments face lies in striking the right balance between achieving security and remaining economically open. Failure to strike this balance will be costly. Weighing security too heavily can inflict excessive costs when governments express this through excessive economic restrictions. Some of the potential costs to the global economy of economic fragmentation could be so high as to generate societal unrest, which itself is a source of insecurity. But at the same time, overexposure to overly concentrated international supply chains for strategic commodities needed in the defence industrial, energy and digital sectors can leave countries military vulnerable to rivals and enemies and might also impede the development of industries that will be fundamental to wealth creation over the coming decades. It can also create imbalances of power withing blocks of allies and partners. Supply chain diversification makes good sense. Building more resilient supply chains will, at least in some instances, prove costly. But over-exposure to single suppliers has even greater potential costs, particularly when that supplier is a strategic competitor. Allies should collectively

actively shape these discussions. Therefore, NATO should revitalise its approach to economic security by reintroducing regular high-level meetings and consultations focused on economic matters. NATO should also reestablish the NATO Economic Security Committee. Recreating this dedicated body within NATO will be crucial to handling economic security issues through monitoring global economic trends, assessing potential threats, and coordinating economic security strategies among Allies.

73. There are, thus, areas where governments can legitimately decide to suspend normal commercial rules for national and collective security purposes. There is, for example, a strategic rationale for the EU to strive for a higher level of food independence for reasons of both food and national security. Allied countries need to exercise greater scrutiny of strategic rivals like China investing in critical infrastructure such as harbours and other transportation hubs. Allies should therefore work together to provide alternative investments in these countries to counterbalance Chinese and Russian influence. They should also be vigilant when Russia and China are investing in these assets in developing countries, particularly when this could pose a threat to Allies over the long run. This is a legitimate diplomatic concern, and one solution is to provide alternative investment opportunities for these countries.

74. The production of and trade in energy and energy technology is another area where governments must develop more strategic approaches. Support for technological development both in energy generation and energy efficiency should remain a priority for Allied countries. In this regard, Allied Governments need to do more to facilitate the mining of strategic minerals. Both the energy and military sectors require these minerals for production and currently China controls the supply of many of these. This is unsustainable and demands partnerships between governments and the private sector to resolve. Allies should create a NATO Partnership for Essential Raw Materials. The new initiative should take into consideration, but not be limited to, the Defence-Critical Supply Chain Security Roadmap and the Updated Defence Production Action Plan. The aim of the NATO Partnership for Essential Raw Materials should be to build a common understanding among Allies on strategic raw materials and align their economic policies to secure access to them and enhance supply chain resilience.

75. Building resilience ought to be the goal, not fragmentation. Indeed, Allied governments should avoid economic policies that would significantly undermine the multilateral trade and investment system. Striking broad international agreements on shared rules of the game should remain a priority, although this will not always be possible. Where it is not, like-minded governments need to find second best options. The democratic community of nations shares common values and common stakes in the international rules-based order and collectively they have great weight if they can act in concert. It is also worth citing Article 2 of NATO's founding act: Allies, it says, "will seek to eliminate conflict in their international economic policies and will encourage economic collaboration between any or all of them". Economic resilience should become a critical part of the update of the NATO seven baseline requirements for resilience planned for 2026.

76. To begin with, Allied democracies and their partners, and others sharing their general approach, need first to forge agreements among themselves and agree not to resort to tariff wars to settle disagreements. Trade wars among friends and allies will only open new opportunities for powerful countries like China that do not share core democratic and free market values. Friend-shoring to reinforce vulnerable and highly strategic supply chains may be necessary in some cases. Allied countries should work to foster greater openness among themselves to generate economic gains from trade and investment, to reinforce solidarity, to foster interoperability, to cooperate in the advancement of technology and shared policymaking and to ensure that vital supply chains are robust and resilient. The transatlantic trade and investment relationship generates millions of jobs on both side of Atlantic. Rather than build new trade and investment barriers among these like-minded countries, efforts are needed to reduce these barriers so that commercial ties among friends are only deepened, without creating imbalances within these partnership groups. This should extend to the defence sector where technology sharing and deeper trade in military goods will drive down procurement costs, enhance interoperability and provide Allies with greater capabilities on the

battlefield. Allies need to rebuild their defence industrial ecosystems to increase production and close the gap with the adversaries. A well-guided investment agenda will also foster economic and technological development, including on the regional level, ensuring political and societal buy-in among Allies. ASML serves as a good example in this regard. The company has brought economic and technological development to the Eindhoven region. In return, the region has become an ecosystem for the ASML technology domain. Indeed, well-connected Allied technological regional ecosystems will be able to better compete with the technological ecosystems of our adversaries.

77. Allied governments need to defend the notion of common global standards that are essential to maintaining open markets. But common standards should not impede the development of technological diversity, which itself can confer strategic and economic advantage. As far as is possible, these efforts should engage the Global South and the BRICS countries (minus Russia but including Indonesia). Institutions like the OECD have a key role to play here and member governments should continue to encourage it to reach out beyond its core membership to broaden acceptance of these standards. In fact, a more institutionalised NATO-OECD policy alignment could help to promote security and defence related standards. In this context, the NATO Parliamentary Assembly should continue to actively use the OECD Global Parliamentary Network to discuss economic security issues, including standards. The OECD can also play a key role in building more resilient supply chains in areas like energy, food commodities, but also critical raw materials where the challenge is compelling and consequential. These efforts will invariably confront serious roadblocks including divergent environmental and ethical standards. For example, some in the West argue that Western standards are so high as to militate against mining much-needed critical raw materials while standards in some developing countries are so low as to endanger the health and welfare of those living near these facilities. How to address these conflicting realities will be fundamental to preventing further fragmentation while diversifying the supply base of these critical inputs. Likewise, it will be important to ensure a more level playing field in those areas where private actors compete against state-owned enterprises. That said, there are possible advantages that publicly owned enterprises can confer in certain industries like energy as these kinds of institutions can help countries achieve a degree of strategic autonomy that a pure market approach might not. These challenges are particularly compelling in the renewable energy sector.

78. Resilient supply chains invariably consist of a broad base of suppliers. The position China has established in the critical minerals and battery sectors provides a case in point and it recalls the unacceptable level of dependence Europe developed on Russian gas prior to Russia's war on Ukraine. China now enjoys a powerful lead in many of the critical inputs for the energy and digital sectors and it, like Russia, has already demonstrated a willingness to exploit this position for political ends. Diversifying these supply chains has thus emerged as a critical and shared challenge to the democratic community of nations. Norring warns, however, that "it is important to ensure that de-risking of certain nodes of Global Value Chains (GVCs) does not lead to new dependencies. Simply bringing production closer to customers does not ensure resilience of GVCs. Rather, the key to resilience lies in making Global Value Chains more diversified and agile, thus resilient to disruptions at some corner of the network. Even as protectionist measures are argued for as increasing supply security via diversification, strengthening domestic security and maintaining technological advantage, analysis suggests that geopolitically fragmented GVCs would reduce economic activity" (Caldara et al., 2023; Norring, 2024).

79. Reinforcing the transatlantic trading system and engaging widely with partner democracies in the Pacific will enhance security and provide a poll of attraction to developing countries that value commercial and investment ties with this important constellation of countries. These countries have much to lose from fragmentation, and their participation in the rules-based international commercial order is important. A recent study suggests that "It is key that low-income countries, most vulnerable to the adverse growth effects of runaway fragmentation, do not get caught in the crossfire. If countries undertake unilateral actions, credible 'guardrails' will be needed to protect the vulnerable and mitigate global spillovers. These guardrails could include, for example, safe corridors for food and medicine, along with multilateral consultations to assess the economic impact of unilateral actions and identify their unintended consequences" (Bolhuis et al., 2023). NATO should consider

establishing an informal economic security task force composed of NATO Allies, the Indo-Pacific partners, the European Union, and Ukraine that could address shared economic security challenges more effectively. The task force members should be invited to join the NATO Partnership for Essential Raw Materials as well as regularly brief the NATO Economic Security Committee.

80. NATO should leverage the economic security agenda to synchronise military and non-military instruments of power. In the coming years, NATO will need to better integrate private-sector capabilities across domains, expand industrial base capacity, and protect critical infrastructure from kinetic and non-kinetic attacks. On the one hand, NATO should foster the development of regional innovation centres for military and dual use technologies. On the other, Allies and partners should engage their own private sectors in this effort. Western firms need to do more to control the end use of military and dual-use equipment they export. These companies need to establish more rigorous compliance procedures to conform to existing restrictions and ensure respect for both the letter and spirit of these laws. Allied governments, in turn, need to ensure that incentives are in place for commercial operators to comply with these rules, including criminal statutes aimed at those violating these export controls. As long as Russia's war on Ukraine continues, Allies and partners also need to deepen enforcement cooperation and work to harmonise existing and future trade controls on Russia to facilitate enforcement and make circumvention far more difficult. Governments may need to undertake extraterritorial applications of these regulations because trade diversion has become the primary vehicle for Russia to supply its defence industries with needed inputs. Government agencies responsible for sanctions enforcement continue to confront understaffing and underfinancing challenges. At current staffing levels, enforcement of strategic export controls is virtually impossible. Greater international coordination and investigative burden sharing can go far towards fostering efficiencies that can also help address this problem. But it is also worth noting that sanctions alone will never entirely prevent technology and weapons proliferation, and it is therefore essential for allied countries to prioritise constant high levels of investment in technology.

81. Policy makers should prioritise moving food to international markets in an unhindered manner even in a time of geo-economic fragmentation. This is particularly urgent for the least-developed countries, but consumers in developed countries also demand access to essential food products at reasonable prices. Price spikes in this sector can drive inflation and are destabilising more generally. This becomes even more imperative in a time of accelerating climate change. In the same way, governments need to establish market access for a range of minerals particularly those needed in sustainable energy production and in essential digital sectors (Alvarez, et al., 2023). Finally, governments should recognise the strategic value of food production and food commodities. NATO should continue to work on food security and resilient agriculture in the framework of the Food and Agriculture Planning Group (FAPG). A close cooperation with Ukraine in this regard will be essential to draw lessons and better ensure the resilience of food systems across the Alliance, and future-proofing them against disruption and shocks. At the same time, Europe should do much more to leverage its highly productive agricultural sector to further its geo-strategic ambitions.

BIBLIOGRAPHY

Adhikari, Arnav, "BRICS", University of Virginia Global South Studies, 19 August 2022.

Agora Strategy, "China's Evolving Economic Arsenal: From Fragmented Retaliation to Structured Coercion", 9 July 2025.

Ahn, JaeBin, Benjamin Carton, Ashique Habib, Davide Malacrino, Andrea Presbitero, and Dirk Muir, IMF Research Department, "Geoeconomic Fragmentation and Foreign Direct Investment", IMF eLibrary, 11 April 2023.

Aiyar, Shekhar and Anna Ilyina, "Charting Globalization's Turn to Slowbalization After Global Financial Crisis", IMF Blogs, 8 February 2023.

Aiyar, Shekhar, Andrea F. Presbitero and Michale Ruta, "Geoeconomic Fragmentation: The Economic Risks from Fractured World Economy", Centre for Economic Policy Research, 2023.

Ahmari, Sohrab, "An elegy for Bidenism", *The New Statesman*, 21 July 2024.

Alvarez, J., Andaloussi, M., Maggi, C., Sollaci, A., Stuermer, M., & Topalova, P. B., "Geoeconomic Fragmentation and Commodity Markets", IMF Working Paper No. 2023/201, 3 October 2023.

Alvarez, Jorge, Mehdi Benatiya Andaloussi, Martin Stuermer, "Geoeconomic Fragmentation Threatens Food Security and Clean Energy Transition", IMF Blogs, 3 October 2023.

Applebaum, Anne, *Autocracy Inc.: The Dictators that want to Run the World*, Penguin Random House, 2024.

Anghel, Veronica, and Erik Jones, "The Transatlantic Relationship and the Russia-Ukraine War", Political Science Quarterly, 2024, Vol. 139, No. 4, 509–528, 25 June 2024.

Attinasi, Maria-Grazia and Lukas Boeckelmann, Baptiste Meunier "The economic costs of supply chain decoupling", ECB Working Paper Series No 2839, European Central Bank, 2023.

Bilousova, Olena, Benjamin Hilgenstock, Elina Ribakova, Nataliia Shapoval, Anna Vlasyuk and Vladyslav Vlasiuk, "Challenge of Export Controls Enforcement: How Russia continues to import components for its military Production", Kyiv School of Economics: Yermak-McFaul International Working Group on Russian Sanctions, January 2024.

Bolhuis, Marijn A., Jiaqian Chen and Benjamin Kett, "Geoeconomic fragmentation: Accounting for commodities" in Aiyar, Shekhar, Andrea F. Presbitero and Michale Ruta, "Geoeconomic Fragmentation: The Economic Risks from Fractured World Economy", Centre for Economic Policy Research, 2023.

Bounds, Andy, "EU toughens stance on Donald Trump's tariffs as deadline looms", *Financial Times*, 1 July 2025.

Budget Lab at Yale (The), "The State of U.S. Tariffs: June 17 2025", Yale University, 17 June 2025.

Butler, Creon, "What will global trade look like after the chaos of Trump's tariffs?", Chatham House, 9 June 2025.

Caldara, Dario and Matteo Iacoviello, "Measuring Geopolitical Risk", American Economic Review, 112 (4) 2022.

Campos, Rodolfo, Julia Estefania Flores, Davide Furceri, and Jacopo Timini, "Geopolitical fragmentation and Trade", Centre for Economic Policy Research, 31 July 2023.

Draper, Peter, Kumuthini Sivathas and Nathan Howard Gray, "'I'm going to send letters': the deadline for Trump's 'reciprocal' tariffs is looming", *The Conversation*, 1 July 2025.

Ero, Comfort, "The Trouble With 'the Global South': What the West Gets Wrong About the Rest", *Foreign Affairs*, 1 April 2024.

European Commission, "European Critical Raw Materials Act: Sustainable supply of raw materials", 16 March 2023.

European Commission, "Global Gateway: Information on the roll out of the Global Gateway strategy, partnerships, projects and funding Opportunities".

European Commission, "Trade and Security: United States".

EUR-Lex, REGULATION (EU) 2024/1252 OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL: establishing a framework for ensuring a secure and sustainable supply of critical raw materials and amending Regulations (EU) No 168/2013, (EU) 2018/858, (EU) 2018/1724 and (EU) 2019/1020, 11 April 2024.

European Parliament, "EU's response to the US Inflation Reduction Act (IRA)", 6 February 2023.

Foster, Peter, George Parker, Madeleine Speed and Sylvia Pfeifer, "British industry exempted from Trump's doubling of steel tariffs", *Financial Times*, 4 June 2025.

Furman, Jason, "The Post-Neoliberal Delusion", *Foreign Affairs*, 10 February 2025.

Giammarioli, Nicola, "Stronger together: Safeguarding financial stability in a fragmented world", European Stability Mechanism, 31 May 2024.
Girardi et al., "Strategic raw materials for defence: Mapping European industry needs", The Hague Centre for Strategic Studies (HCSS), January 2023.
Government of the UK, "Update on the UK-US Economic Prosperity Deal (EPD)", 20 June 2025.
Grenville, Stephen, "Twenty years of BRICS", The Lowy Institute, 3 December 2021.
Grozovsk, Boris, "Putin Bets on Geoeconomic Fragmentation", Kennan Institute, 18 June 2024.
Hakim, Shirin and Amin Mohseni-Cheraghlou, "Geoeconomic fragmentation and net-zero targets", Atlantic Council, 16 April 2024.
Harris, Jennifer M., "The Post-Neoliberal Imperative", *Foreign Affairs*, 22 April 2025.
Heydon, Ken, *The Trade Weapon*, Polity Press, 2024.
ISPI, "Do the BRICS Have a Plan? 90, Pivot to Asia", 31 October 2024.
Jones, Erik, "A global Perspective on Geopolitics and Economic Statecraft", in Geopolitics and Economic Statecraft in the European Union, Carnegie Endowment, 19 November 2024.
IMF Research Department, "Geoeconomic Fragmentation and Foreign Direct Investment", IMF, 11 April 2023.
Kingma, Dann, "Caught in a Geopolitical Crossfire: Questioning the Legality of US-Imposed exports controls on Dutch Computer Chip Machines", European Journal of International Law, 12 January 2024.
Koc, Cagan and Chad Thomas, "Trump to Push Hard on ASML Export Controls, Dutch Premier Says", *Bloomberg*, 22 January 2025.
Kolesnichenko, Olga, Alexander Rozanov and Liu Debin, "The Role of BRICS in Global Politics" Globalistics and Globalization Studies, 277–282, 2016.
Leahy, Joe, Demetri Savastopulo, Aime Williams, and Mercedes Ruehl, "China and US agree to slash tariffs", *Financial Times*, 12 May 2025.
Lynch, David, J., "Trump's new trade war may prove far more disruptive than his first", *Washington Post*, 27 January 2025.
Mia, Irene, "Organised crime will benefit from the global trade war", International Institute for Strategic Studies (IISS), 18 June 2025.
NATO (North Atlantic Treaty Organization):
- (2024a) "Factsheet: Defence-Critical Supply Chain Security Roadmap", July 2024.
- (2024b) "NATO releases list of 12 defence-critical raw materials", 16 December 2024.
- (2025a) "Updated Defence Production Action Plan", 24 June 2025.
- (2025b) "The Hague Summit Declaration", 25 June 2025.
Norring, Anni, "Geoeconomic fragmentation, globalization, and multilateralism", Bank of Finland Economics Review, February 2024.
Plummer, Michael G., "Estimating the costs of geoeconomic fragmentation to the global economy", in Aiyar, Shekhar, Andrea F. Presbitero and Michale Ruta, "Geoeconomic Fragmentation: The Economic Risks from Fractured World Economy", Centre for Economic Policy Research, 2023.
Reuters, "IMF's Gopinath says economic fragmentation could cut global GDP by 7%", 11 December 2023.
Satariano, Adam, "How the Maker of the 'Most Complex Machine Humans Ever created' is Navigating Trade Fights", *The New York Times*, 9 June 2025
Schulze, Meike, "Security of Supply in Times of Geo-economic Fragmentation: Enhancing the External Dimension of the EU's Raw Materials Policy", SWP Comment No. 15, April 2024.
Shidore, Sarang, "The Return of the Global South: Realism, Not Moralism, Drives a New Critique of Western Power", *Foreign Affairs*, 31 August 2023.
Shkolnikova, Svetlana, "'Prices are going to go up': Trade war threatens US weapon production", *Stars and Stripes*, 25 April 2025
Springfield, Cary, "What the Expanding BRICS Universe Means for the Global Economy", *International Banker*, 2 November 2023.
Sterling, Toby, "ASML needs licence to service some equipment in China, Dutch government says", *Reuters*, 10 September 2024.
Suzman, Mark, "The Roots of the Global South's New Resentment: How Rich Countries' Selfish Pandemic Responses Stoked Distrust", *Foreign Affairs*, 8 September 2023.
Swanson, Ana, "Trump will impose Tariffs on Steel and Aluminium on Monday", *The New York Times*, 10 February 2025.
Swanson, Ana, and Hirsch, Lauren, "'Golden Share' in U.S. Steel Gives Trump Extraordinary Control", *The New York Times*, 15 June 2025.